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# IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

## CA (CAA)/25 & 26 (CHE)/2023

*(Under Sections 230 to 232 of the Companies Act, 2013*
*In the matter of Scheme of Arrangement (Amalgamation)*

of

**SEYOON TEKNOLOGIES PRIVATE LIMITED**
CIN: U35999TN2018PTC122263
137 SIDCO Industrial Estate Thirumazhisai,
Thiruvallur, Chennai- 600 124.

*...Applicant /Transferor Company*

*Along with*

**VEL CASTINGS PRIVATE LIMITED**
CIN: U27310TN2013PTC092992
S-40 SIPCOT Industrial Complex, Phase-III
Ranipet, Vellore- 632 405.

*...Applicant/Transferee Company*

*Order Pronounced* ***19th June 2023***

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**SANJIV JAIN, MEMBER (JUDICIAL)**
**SAMEER KAKAR, MEMBER (TECHNICAL)**

*For Applicant(s): G.Kalyan Jhabakh, Advocate*

## ORDER

***Per:*** **SAMEER KAKAR, MEMBER (TECHNICAL)**

Both the Applications viz., CA/CAA/25/CHE/2023 & CA/CAA/26/CHE/2023 have been filed by the Applicant Companies, namely **SEYOON TEKNOLOGIES PRIVATE LIMITED** (hereinafter "Transferor Company"), **VEL CASTINGS PRIVATE LIMITED** (hereinafter Transferee Company") respectively with its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act,

2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies herein with its Shareholders. The said Scheme is placed at **Pages 112-144** of the CA (CAA)26/2023 and **Pages 110-142** of the CA (CAA)25/2023 .

2. The Applicant Companies in this Company Application have sought for the following reliefs;

| | EQUITY SHAREHOLDERS | PREFERENCE SHAREHOLDERS | SECURED CREDITORS | UNSECURED CREDITORS |
|---|---|---|---|---|
| TRANSFEROR COMPANY | To dispense with | Not Applicable | To Order Meeting | To Order Meeting |
| TRANSFEREE COMPANY | To dispense with | To dispense with | To Order Meeting | To Order Meeting |

3. From the certificate of incorporation filed, it is evident that

(i) The Transferor Company ***(Seyoon Teknologies Private Limited)*** is a Private company incorporated under the provisions of Companies Act, 2013 on 20.04.2019. The authorised and paid up share capital of the Transferor Company as on 31.03.2022 is as follows

| **Particulars** | **Rupees** |
|---|---|
| **Authorised share capital**<br>1,00,000 Equity Shares of Rs.10/- each | Rs.10,00,000/- |
| **Issued subscribed and paid up**<br>1,00,000 Equity Shares of Rs.10/- each | Rs.10,00,000/- |

The Registered office address of the Transferor Company 137 SIDCO Industrial Estate Thirumazhisai, Thiruvallur, Chennai- 600 124.

(ii) The Transferee Company (*Vel Castings Private Limited*) is private company incorporated under the provisions of the Companies Act, 2013 on 16.09.2013. The authorised and paid up share capital of the Transferee Company as on 31.03.2022 is as follows

| Particulars | Rupees |
|---|---|
| **Authorised share capital** | |
| 11,25,000 Equity Shares of Rs.100/- each | 11,25,00,000 |
| 2,25,000 Convertible Preference Shares of Rs.100/- each | 2,25,00,000 |
| 7,00,000 Convertible Preference Shares of Rs,100/- each | 7,00,00,000 |
| **Issued subscribed and paid up** | |
| 10,99,929 Equity shares of Rs.100/-each | 10,99,92,900 |
| 2,10,141 Convertible Preference Shares of Rs. 100/- each | 2,10,14,000 |
| 7,00,000 Convertible Preference Shares of Rs.100/- each | 7,00,00,000 |

The Registered office address of the Transferee Company is situated at S-40 SIPCOT Industrial Complex, Phase-III Ranipet, Vellore- 632 405.

4. Affidavits in support of the above application sworn for and on behalf of the Applicant Companies are given by one Ms. Shanthi Madhavan, on behalf of the Transferor Company/Transferee Company in the capacity of director/authorized signatory. The said affidavits are placed along with the

Application at Pgs 175-176 in CA(CAA)25/2023 & Pgs 199-200 in CA(CAA)26/2023. It is also represented that the registered offices of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Chennai.

5. The Applicant Companies have filed Memorandum and Articles of Association *inter alia* delineating the object clauses as well as their last available audited financial statements for the year ended 31.03.2022 & provisional financial statements for the year ended on 31.12.2022.

6. The Board of Directors of the Applicant Companies vide meeting held on 20.02.2023 & 22.02.2023 have unanimously approved the proposed Scheme as contemplated above and copies of the resolutions passed thereon have been placed on record by the Applicant Companies.

7. The Appointed date as specified in the Scheme is **01.04.2022**.

8. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

9. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

10. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issues the following directions: -

**A. IN RELATION TO SEYOON TEKNOLOGIES PRIVATE LIMITED (TRANSFEROR COMPANY)- CA(CAA)25/CHE/2023**

**I. EQUITY SHAREHOLDERS**

(i) There are **two (2)** Equity Shareholders, whose consent affidavits are placed as **Pgs.158-162** and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed as **Pgs.154-157** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company that there are **2 (two)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

II. **SECURED CREDITORS**

(i) There are **Nine (9) Secured Creditor**. The certificate issued by the Chartered Accountant to this effect is placed as **Pgs.163-165** of the typed set filed with the application. It has sought for convening, holding and conducting a meeting.

(ii) Since it is prayed for meeting, the of the Secured Creditors of the Transferor Company is directed to be held on **10.08.2023 at 11.00 AM** in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a

period of 7 days from the date of this order and prior to the issue of notices.

**III. UNSECURED CREDITORS**

(i) There are **One Hundred and Thirty (130)** Unsecured Creditor. The certificate issued by the Chartered Accountant to this effect is placed as **Pgs.166-171** of the typed set filed with the application. It has sought for convening, holding and conducting a meeting.

(ii) Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **10.08.2023 at 12.00 PM** in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

**B. IN RELATION TO VEL CASTINGS PRIVATE LIMITED (TRANSFEREE COMPANY)- CA/CAA/26/CHE/2023**

**I. EQUITY SHAREHOLDERS:**

(i) There are **two (2)** Equity Shareholders, whose consent affidavits are placed as **Pgs.162-168** and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed as **Pgs-158-161** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferee Company that there are **2 (two)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

II. **PREFERENCE SHAREHOLDERS:**

(i) There is One **(1)** Preference Shareholder, whose consent affidavits amounting to 100% of total value credit are placed as **Pgs.162-168** and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed as **Pgs-158-161** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferee Company that there are One **(1)** Preference Shareholder in the Company whose consent by way of Affidavit have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

III. **SECURED CREDITORS :**

(i) There are **Nine (9) Secured Creditors.** The certificate issued by the Chartered Accountant to this effect is placed as **Pgs.163-165** of the typed set filed with the application. It has sought for convening, holding and conducting a meeting.

(ii) Meeting of the Secured Creditors of the Transferee Company is directed to be held on **10.08.2023 at 02.00 PM** in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

**IV. UNSECURED CREDITORS:**

(i) There are **Two Hundred and Seventy Seven (277)** Unsecured Creditor. The certificate issued by the Chartered Accountant to this effect is placed as **Pgs.172-195** of the typed set filed with the application. It has sought for convening, holding and conducting a meeting.

(ii) Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **10.08.2023 at 03.00 AM** in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

11. The quorum for the meeting of the Transferor Company shall be as follows;

| S.NO | CLASS | QUORUM |
|---|---|---|
| 1. | SECURED CREDITORS | 3 |
| 2. | UNSECURED CREDITORS | 39 |

12. The quorum for the meeting of the Transferee Company shall be as follows;

| S.NO | CLASS | QUORUM |
|---|---|---|
| 1. | SECURED CREDITORS | 3 |
| 2. | UNSECURED CREDITORS | 83 |

i) The Chairperson appointed for the above said meetings shall be **Rajesh Sharma (Mobile No: 93122 64174).** The fee of the Chairperson for the aforesaid meetings of the Transferor/Transferee Company shall be **Rs.75,000/- (consolidated)** in addition to meeting their incidental expenses.

ii) **Alpa Jain (Mobile No: 83200 68330)** appointed as a Scrutinizer for meeting of the Transferor/Transferee Company and would be entitled to fee of **Rs.40,000/-(consolidated)** for services in addition to meeting incidental expenses. The Chairperson will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "The New Indian Express" (All India Edition), and "Dinamalar" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as afore stated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

13. Accordingly, the Application stands **allowed.** The Applicant Companies are directed to file the Application for the Second Motion within a period of fourteen (14) days from the date of receipt of this Order.

- sd -

**SAMEER KAKAR**
MEMBER (TECHNICAL)

- sd -

**SANJIV JAIN**
MEMBER (JUDICIAL)